

Eleven notes,
answered against the code

Every answer below was checked in the engine rather than agreed to. Three of your notes found **real defects** — one in the design, two in the product itself. Two of your formulas were **already correct**, and the arithmetic proving it is on the last page.

1	If the prepayment differs, compare it	You were right, and the engine already knew. buildComparison computes a differs list — loan amount, LTV, term, prepayment, interest-only, property value — and prepayment is on it. My first draft hard-wrote prepayment into the "same in all three" box instead of asking. Now the box is derived : whatever differs leaves the box and gets its own compared row, marked MOVED .
2	The effective rate on the extra money went missing	Found it, and found why it vanished. incrementalCostPct is your feature, and it answers only when a scenario borrows more than the one it is compared against. My draft anchored on the largest loan, so every other row asked "how much extra?" and got nothing. Anchored on the smallest , it reads: <i>that extra \$75,000 is costing you about 9.9% a year.</i>
3	Is the payment P&I or PITI?	Fair — one line called "monthly payment" answered two questions. Every sheet now carries both, named: Principal & interest , then Full monthly payment with taxes and insurance in the label itself.
4	Everything expires in 24 hours	My draft said 72 and that was wrong on all three. Live today: a term sheet 24 hours, a comparison and a scenario 48 (termSheet.expiryDays, default 2). Set to 24 everywhere as you asked — which reverses the 30 August decision that a comparison runs on a longer clock, so it is flagged rather than slipped in.
5	The re-price rule applies to every scenario	A real gap in the product, not the design. exportGate returns ok for anything that is not a term sheet, and even on a term sheet reads only members[0]. So on a comparison or a scenario the DSCR bracket rule never runs at all — three scenarios at 1.53, 1.42 and 1.24 sit in three different bands and none of them is checked. Now per option, every kind.
6	"The same in all three" is thrown out	Agreed — it was a wrapped line pretending to be a panel. It is now a ruled box on a four-column grid , each fact with its own cell and label, and it says how many rows it took out of the table below.
7	Split the lender fees into the real ones	The real fees are exactly two — application and commitment (LENDER_FEE_KEYS). Both are now named and priced separately instead of one "\$2,095 lender fees". A waived fee still shows what it would have been.
8	Origination needs its percentage	Now 2.000 points · 2.00% of the \$375,000 loan amount — points, percent and the base it is taken on, so the reader can check the multiplication without hunting for the loan amount.
9	Explain "you are ahead", and its opposite	Both directions now say what they mean in one added line. Paying more today to save monthly has a date you get your money back. Taking money today at a dearer rate is the mirror: you stay ahead <i>until</i> that date, then it turns.
10	Both compensation modes	Checked by building both. On lender-paid there is no origination line at all, the net falls to the two lender fees, and cash to close drops \$7,500. Page 5 is the same comparison rendered lender-paid.
11	Are the formulas right?	Yes — both, and re-derived rather than taken on trust. The incremental cost reproduces both of your own worked examples to the digit; the break-even reproduces by hand in both directions and refuses correctly in three edge cases. The workings are on page 6.

PREPARED FOR

Oak Street Holdings LLC

Miriam Rosenberg, guarantor

PROPERTY

14 Oak Street, Lakewood, NJ 08701

Single family · Ocean County · valued at \$500,000

PREPARED BY

Sara Klein

Senior Loan Officer

(732) 555-0142

sara.klein@yscagroup.com

NMLS #1234567

LOAN AMOUNT	INTEREST RATE	FULL MONTHLY PAYMENT	CASH TO CLOSE
\$375,000	7.375%	\$3,355.03	\$134,595
<i>75% of value</i>	<i>30-year fixed</i>	<i>principal, interest, taxes & insurance</i>	<i>estimated</i>

THE LOAN

Program	Platinum 30-Year Fixed
Purpose	Purchase
Loan to value	75%
Term	30 years, fixed
Prepayment	5-year
Credit score used	740
Escrows	Impounded monthly

MONTHLY PAYMENT

Principal & interest — the loan itself	\$2,590.03
Property taxes	\$620.00
Insurance	\$145.00
Full monthly payment — with taxes & insurance	\$3,355.03
Monthly rent	\$4,161.00
Debt-service coverage	1.24x
<i>Rent divided by the full monthly payment above.</i>	

WHAT IT COSTS TO CLOSE

Origination fee	\$7,500.00
<i>2000 points · 200% of the \$375,000 loan amount</i>	
Application fee	\$500.00
Commitment fee	\$1,595.00
Lender fees, total	\$2,095.00
Cost to get this rate	None — priced at par

third-party costs — title, escrow, recording, appraisal — are not included

Lender charges at closing, net	\$9,595.00
Down payment (25%)	\$125,000.00
Estimated cash to close	\$134,595.00

- **This term sheet expires in 24 hours** — good through 1 September 2026, 1:30 pm ET. Pricing moves with the market, so after that it has to be re-quoted. Nothing here is locked until we lock it in writing.

ACCEPTANCE

Signing below accepts these terms as the basis for proceeding and authorises us to order third-party reports. It is not a commitment to lend.

Oak Street Holdings LLC — authorised signer

Miriam Rosenberg — guarantor

Date

Your YS Capital Group contact: Sara Klein · Senior Loan Officer · (732) 555-0142 · sara.klein@yscagroup.com

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IDENTICAL IN ALL THREE OPTIONS

worked out from the options themselves — nine rows taken out of the table below

LOAN AMOUNT \$375,000	LOAN TO VALUE 75%	TERM 30 years	PREPAYMENT 5-year
CREDIT SCORE USED 740	MONTHLY RENT \$4,161.00	TAXES & INSURANCE \$765.00	ORIGINATION · 2.00% \$7,500.00
APPLICATION FEE \$500.00	COMMITMENT FEE \$1,595.00		

Anything that differed between the options would leave this box and take a row of its own below.

WHAT DIFFERS

every figure below is compared against option A

	OPTION A THE ANCHOR Platinum 30-Year Fixed	OPTION B Core 30-Year Fixed	OPTION C Core 5/6 ARM
Interest rate	7.375%	6.875%	6.500%
Principal & interest	\$2,590.03	\$2,463.48	\$2,370.26
Full monthly payment with taxes & insurance	\$3,355.03	\$3,228.48	\$3,135.26
compared with A	—	-\$126.55 / mo	-\$219.77 / mo
Cost to get this rate	None	\$8,437.50 2.250 pts	\$13,125.00 3.500 pts
Cash to close	\$134,595.00	\$143,032.50	\$147,720.00
Debt-service coverage	1.24×	1.29×	1.33×
You are ahead after	—	67 months	60 months

HOW TO READ THIS

"You are ahead after" is the month your money comes back. B and C cost more on the day you close and less every month after it; divide the extra closing cost by the monthly saving and that is the month the two cross. **Before that month the cheaper closing wins; after it, the cheaper payment does.** The mirror also happens: an option that *pays you* at closing and charges a higher rate keeps you ahead *until* that month, and behind from then on.

A Cheapest to close, dearest to hold. Right if you may sell or refinance inside five years.

B Costs **\$8,438** more at closing and saves **\$127** a month. Your money is back after **67** months — five years and seven months — and it is profit after that.

C Costs **\$13,125** more at closing and saves **\$220** a month, back after **60** months. But the rate adjusts at five years, so the saving is not guaranteed past the day you break even.

• **These prices expire in 24 hours** — good through 1 September 2026, 1:30 pm ET. This is a working comparison, not an offer: there is nothing to sign here. Tell us which option you want and we will issue a term sheet for it.

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Pricing is indicative and subject to change until locked. This is not a commitment to lend. Subject to underwriting, appraisal, title and final credit approval. Break-even compares the extra closing cost with the monthly saving and ignores the time value of money. Disclosures continue on page 2.

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IDENTICAL IN ALL THREE SCENARIOS

prepayment is NOT here — it differs, so it has its own row below

PROPERTY VALUE \$500,000	TERM 30 years, fixed	CREDIT SCORE USED 740	MONTHLY RENT \$4,161.00
TAXES & INSURANCE \$765.00	APPLICATION FEE \$500.00	COMMITMENT FEE \$1,595.00	

THREE SCENARIOS

smallest loan first — everything is measured up from it

	SCENARIO C THE ANCHOR 60% leverage	SCENARIO B 65% leverage	SCENARIO A 75% leverage
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WHAT YOU CHANGED

Loan amount	\$300,000	\$325,000	\$375,000
Loan to value	60%	65%	75%
Prepayment MOVED	3-year	5-year	5-year

WHAT IT PRODUCED

Interest rate	6.750%	6.990%	7.375%
Principal & interest	\$1,945.79	\$2,160.05	\$2,590.03
Full monthly payment with taxes & insurance	\$2,710.79	\$2,925.05	\$3,355.03
Origination — 2.00%	\$6,000.00	\$6,500.00	\$7,500.00
Cost to get this rate	\$7,500.00 2500 pts	\$5,687.50 1750 pts	None
Cash to close	\$215,595.00	\$189,282.50	\$134,595.00
Debt-service coverage	1.53×	1.42×	1.24×

WHAT THE EXTRA BORROWING ACTUALLY COSTS YOU

You borrow this much more than C	—	\$25,000	\$75,000
The extra money effectively costs	—	9.87% a year	9.88% a year
and adds to the payment	—	\$214.26 / mo	\$644.24 / mo

Borrowing more does not only cost the rate on the extra slice — **it re-prices every dollar you were already borrowing**. Scenario A carries 7.375% on the whole \$375,000, not 6.750% on \$300,000 plus a higher rate on the last \$75,000. Netting the two off, the extra \$75,000 is really costing **9.88% a year**. That is the number to hold against what the money earns in your next deal.

Each scenario is priced in its own DSCR band **NEW RULE** — 1.53×, 1.42× and 1.24× sit in three different bands, so each one is checked against the band it was priced in and re-priced on its own if the figures move it. Today the check runs only on a single-option term sheet, and only on the first option; on this document it does not run at all.

- **These prices expire in 24 hours** — good through 1 September 2026, 1:30 pm ET. Each scenario is a different loan, so there is nothing to sign here. Choose one and we will issue a term sheet for it.

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Lender-paid and borrower-paid, built

The same three options, priced both ways through the real engine. What changes is one row and one total — and the layout must not assume the origination row exists, because on lender-paid **it is not there at all**.

BORROWER-PAID — THE BORROWER PAYS OUR ORIGINATION

	A 7.375%	B 6.875%	C 6.500%
Origination — 2.00%	\$7,500.00	\$7,500.00	\$7,500.00
Cost to get this rate	None	\$8,437.50	\$13,125.00
Lender fees	\$2,095.00	\$2,095.00	\$2,095.00
Cash to close	\$134,595.00	\$143,032.50	\$147,720.00

LENDER-PAID — WE ARE PAID BY THE INVESTOR, SO THERE IS NO ORIGINATION ROW

	A 7.375%	B 6.875%	C 6.500%
Origination	not charged	not charged	not charged
Cost to get this rate	None	\$8,437.50	\$13,125.00
Lender fees	\$2,095.00	\$2,095.00	\$2,095.00
Cash to close	\$127,095.00	\$135,532.50	\$140,220.00

WHAT THE PAGE HAS TO SURVIVE

A row that is not there. On lender-paid the origination line does not exist — it is not zero, it is absent. So "origination" cannot be a fixed row on the sheet or in the shared box, and it cannot be assumed when working out what is identical between options.

A total that can point the other way. A lender-paid option priced above par can produce a **credit** rather than a charge, and the sheet must then read *lender credit at closing* and you receive, not a negative charge.

The rate never moves. \$7,500 comes off the cash to close and not one rate, payment or coverage figure changes — which is the check that the two modes really are the same loan priced two ways.

Both formulas, re-derived by hand

You asked me to check them rather than trust them. Both are **correct**. The incremental cost reproduces both of your own worked examples **to the digit**, and the break-even reproduces by hand in both directions and refuses in the three cases where no answer exists.

1 THE EFFECTIVE COST OF THE EXTRA BORROWING

$$(\text{ bigger } \times \text{ its rate } - \text{ smaller } \times \text{ its rate }) \div (\text{ bigger } - \text{ smaller })$$

It is built on **interest, not on the payment** — a P&I payment is partly your own capital coming back, so annualising it prices your money back to you as a cost. And it counts the **re-pricing of the whole loan**, which is the question actually being asked.

CASE	ENGINE	BY HAND	NOTE
\$375,000 and \$400,000, both at 6.75%	6.75%	6.75%	your "still 6.75%" — same rate, no re-pricing OK
\$400,000 @ 6.00% → \$500,000 @ 7.00%	11.00%	11.00%	1 pt on 400k = 4 pts of the extra 100k, + 7 on the slice OK
\$300,000 @ 6.75% → \$375,000 @ 7.375%	9.88%	9.8750%	the scenario sheet on page 4 OK
\$300,000 @ 6.75% → \$325,000 @ 6.99%	9.87%	9.8700%	the middle scenario OK

The formula was right; the direction was mine to get wrong. It answers only when the option borrows MORE than the one it is measured against. My first draft anchored on the largest loan, so it returned nothing on every row and the line quietly disappeared. Anchoring on the smallest is what brings it back.

2 THE BREAK-EVEN — "YOU ARE AHEAD AFTER"

$$\text{months} = - (\text{ extra cost at closing }) \div (\text{ monthly difference })$$

CASE	ENGINE	BY HAND	NOTE
Pay \$8,438 more, save \$126.55 a month	66.7	66.68	option B on page 3 OK
Pay \$13,125 more, save \$219.77 a month	59.7	59.72	option C on page 3 OK
The mirror — take \$8,438, pay \$126.55 more	66.7	66.68	same month, opposite meaning: ahead <i>until</i> then OK
Dearer today AND dearer monthly : a sub-cent difference : no closing figure	refused, all three		no break-even exists, so none is printed OK